AI Enterprise - Databricks & Glean | BG2 Guest Interview

Podcast: BG2

AI Executive Summary

1. Core Thesis: The episode posits that while an AI bubble exists in frontier "Super Intelligence" speculation due to unrealistic valuations and hardware dependency (e.g., NVIDIA capex exceeding software industry revenue), the practical enterprise AI camp is successfully moving past hype into economic utility. Instead of seeking godlike intelligence, companies with unique data moats are leveraging existing LLMs as commoditized tools to automate specific workflows (finance, healthcare, retail). Success relies not on model capability alone, but on integrating these agents with proprietary company data and governance structures to solve complex internal problems.

2. Key Arguments & Data:

3. **The 95% Fail Myth:** Citing the MIT report stating 95% of AI deployments don't work, speakers argue failure is actually desired as a sign of experimentation; if all projects failed, it would mean companies weren't trying enough. The goal is to reach the 1 in 20 (or higher) that works reliably.
4. **Commoditization of LLMs:** Large Language Models are viewed like gas stationsâ€”interchangeable commodities where price and speed matter more than brand. Value differentiation comes from proprietary data processes unique to an organization ("secret sauce").
5. **Three Camps on AI Progress:**
    - *Super Intelligence Quest:* Frontier labs using scaling laws/GPU clusters (e.g., Frontier Labs). High capital expenditure (~$200T NVIDIA capex) assumes a future need for godlike AGI.
    - *Researchers/Sober:* Experts like Rich Sutton and Yann LeCun argue probabilistic next-token prediction is not human learning; timelines are long (20 years).
    - *Pragmatic Enterprise:* The speakers' view; we already have Artificial General Intelligence (reasoning capable), so the focus must be on making it useful in organizations.
6. **Revenue & Capex Reality:** To justify the massive capital spend on AI hardware, one needs to generate approximately $1 trillion in revenue

(current software industry earnings are ~$400B). Value conversion is expected from the services industry (25x larger than software) into software/AI dollars.

7. **Worked Use Cases:**
    - *Finance:* Royal Bank of Canada uses agents to generate equity research reports in 15 minutes (vs. 2-hour industry standard) by analyzing earnings calls and historical data.
    - *Healthcare:* TETI (Transformer Enabled Drug Discovery) model predicts gene regulatory networks for drug discovery.
    - *Retail:* 7-Eleven uses agents to automate the marketing stack, segmenting audiences and generating customized materials instantly.

8. **Value Accrual Layers:** Value is expected to shift from Intelligence Layer (commodity models) to the Data/Application layers.

    - *Data Layer:* Unique proprietary data creates a moat (e.g., Glean). Security and governance are critical due to agent access to HR/salary data.
    - *Software/App Layer:* Value accrues here; companies like Salesforce or Zoom will evolve into end-to-end stacks that automate data entry and meeting transcription.

9. Actionable Takeaways:

10. **Prioritize Data Strategy:** Begin AI strategy with a clean, secure data foundation. Without unique data, any application risks being a generic commodity.
11. **Adopt Short-Term Vendors:** When selecting AI tools for budgets, prioritize short-term contracts and easy-to-test products rather than six-month implementation cycles.
12. **Focus on "Continuous Learning" Agents:** Invest in agent architectures that can learn patterns and generalize (like Generative AI), avoiding brittle rule-based systems like RPA.
13. **Implement Governance & Security:** Ensure agents have locked-down access to sensitive data; the risk of information leakage (e.g., salary info, HR data) requires strict security layers.

14. **Target Proactive Use Cases:** Look for opportunities in proactive AI that brings solutions to users (e.g., note-takers creating knowledge sources), rather than reactive tools requiring user input.
15. **Invest in Speech & Interaction:** Prepare for the decline of keyboards; invest in speech recognition and natural interaction agents, particularly for meeting transcription and personal productivity.

Full Transcript

I think we have a GI. I think we have artificial general intelligence. We really have. You hear these 95% of projects fail. But that's actually what you want. I think the LLM is a commodity. People are not saying that. But it is a commodity. You can get gas from this gas station. You can get gas from that gas station. It doesn't matter. Just compare price. Is AI in a bubble? There is an AI bubble. OK, so then Glean is also in the bubble. Everybody's in the bubble. No, I would say there is a bubble. I would say those three camps. Yeah, there is a super intelligence quest camp. I would be very worried there. There's a second the researchers doing the, you know, that's definitely not in a bubble. They're like the sober. Yeah, they're super sober. Nobody cares about them. And they're probably the ones that arrived, unfortunately. And then there's the third camp, which is us trying to make this valuable. We're not in a bubble in a sense that we're not spending huge amounts of capital on what we are doing. We're just trying to get actual economic value inside of these organizations. Two legendary builders.

Ali, Irvind, I'm so thrilled to get into this with you because both of you have seen every supercycle I've lived through, internet, mobile, cloud, data and AI, not just through the supercycles, but also through the hype, the trough of disillusionment. And this time it's different. Today, we're going to chop it up on the state of AI. Let's start with a 20,000 feet view. Take stock of where we are. AI, we've seen consumer, AI, Billions of users, chat GPT said the guns went off three years ago, cloud perplexity, chat GPT, people use it in the room. On the SMB and developer side, you've got hundreds of millions of users with cursor and codecs and cloud code and so on. Enterprise on the other hand, there's a lot of divide. It's hard to see a lot of fog of war. On one side, you've got models that are earning math benchmarks and science benchmarks and engineering benchmarks.

But on the other side, you've got the MIT report that's saying 95% of AI deployments don't work. What's the reality? Bridge that gap for us, lay it out as you see it, view from the top. So I think first of all, I think we should know that people use AI in their personal and work lives, both. So there's

not so much of a divide. Everybody in your company is probably using ChadGBD and Claude and other tools on a daily basis. The thing that I feel is happening in enterprises, you hear these 95% of projects fail. But that's actually what you want. When you are actually experimenting with new technology, if all of your projects are failing, that means you're just not trying enough at the moment. So I think when I read the study, it was not a surprise for me. We can actually see, hopefully, similar stats next year too, because we want everybody in the industry to be to be really eager and experiment and actually figure out how to actually get benefits from this technology. This would make you guys, by default, the 5% of AI that is working, which is 1 in 20. Maybe you go to the 5%. What is a use case that is working? And not just working like it's like saving me time, but like it's working and it's transforming my company. Something that you can take to the bank, to the CFO.

to see if I will notice it, but the legal won't shut it down. I mean, look, we're seeing a lot of use cases that are working. It's just that, you know, you just have to it's not just you can just unleash the agents and it just works. It's an engineering art. Like if you're going to have a company that's going to be really differentiated, like my company or your company or anyone's company and you want to beat the competition, you can't just like, you know, quickly put something together and think that, you know, the your competition is not going to do the same thing. So that's going to be something that needs evaluations. It needs something that you're going to productionize. It's going to take effort. You need a great team around it. But we're seeing a lot of them. I'll give you some examples. Royal Bank of Canada, built agents with us that basically take as soon as an earnings report comes out. So equity research analyst their job is to put together these reports that say, this is a buy, this is a hold, and so on.

The agent goes, gets the earnings report, gets all the previous earnings reports, gets all the computers earnings reports, gets everything that's going on in the market, does the full analysis, the news, everything, puts it all together and it can get the equity report out in 15 minutes from the earnings call. Industry standard is two hours. Of course, it's going to get commoditized and others are going to do that as well. But that's actually a really important use case that we're seeing in finance. So that's like finance,

example in finance, right? And there's lots of examples like this, sifting through hundreds of thousands of documents, SAC report, so on. That's finance. That's witch gears. Let's go to healthcare. Healthcare is completely different. In healthcare, we have a customer murk that in their life science space created a model called TETI. TETI stands for Transformer Enabled Drug Discovery.

And this is a transformer model, kind of just like large-language models that can predict the next word, but it instead can figure out which genome is missing if you remove a genome. So it really understands the gene regulatory network and can really start telling you what's happening with gene expression and so on. So this is really important for drug discovery. It's the beginnings, but this is going to actually help us do things that we couldn't do before. Let's pick retail also. So I'm picking different. Healthcare is one. I give you finance, right? The RBC one. Let's go to retail, 7-Eleven. Agents that completely automate the marketing stack. Actually, the marketing stack is going to get disrupted pretty heavily. So these agents can basically prepare. They can segment the audience. This segment wants to hear this. And they can prepare all the marketing material that's directly targeting you guys. And they can put the campaigns together and do that. 7-Eleven was doing this before as well.

And we're seeing this at Databricks as well. More and more is being done by agents and being automated, so you can just do it faster. And you can segment more fine grain, because before you had to create the content for the groups, there was a heavy content creation with something that was human manual labor. Now you can actually do that much, much more. You can have all your web materials completely customized for a target group. So these are examples where it is working. There are also lots of examples where it's not working, even with Databricks. We're not just the 5%. We have some of that 95% too. some examples of where we're seeing success. Ali, follow up on that. These are great examples. Thank you. Maybe if you were to take it a layer up, what is common across these use cases or these organizations or these CIOs that's making these use cases work? Is there something that we can pattern match? Yeah, look, I think the LLM is a commodity. People are not saying that, but it is a commodity.

Like and you know, when I took econ classes commodity was when it's interchangeable like you can get gas from this gas station or can get gas from that gas station. It doesn't matter. Just compare price. LLMs have become that way. Like it doesn't really matter. This one is better right now. Next week that one is better. You can't even keep up anymore, right? What's happening? So there are commodity. So it's not about that. It really comes down to your company. What data does your company have that's special that your competitors don't have? Can you leverage that? And can you build AI that really understands that data? Because that's not a commodity. There's not an AI out there that understands all your business processes in your company, your secret sauce and your data. That's not a commodity. In fact, that's closer to the 95%. It really comes down to that. Or if you have a complicated process that just your company has, this is how you deliver your product and services in your company. And it's, you know, it's that portion can be disrupted with AI somehow. If you can do that, now you can get ahead of your competition. But it comes back to what makes your company special.

Unfortunately, a lot of companies are just building commodity stuff. You should not be building that, because it's a thing that every company can do. It's not special to your company or to your... That's, I think, the problem in a lot of the industry. Another problem in the industry is there are a lot of demoware. It's really easy to make cool demos with GenAI, and therefore we're seeing a lot of cool demos, but that's all there are. Yeah. Well, something we say around it ultimately quite a bit is your AI strategy starts as your data strategy. So you got to get the data house in order first. You know, there's a lot of reasons for use cases that are, you know, we were trying, we're not working. Maybe give us an example of the 95% of an AI bet that either of you had at Databricks, at Glean, that did not work out and why it didn't work out. It's actually an interesting thing, you know, with engineering today is you build systems and never before have you been in this mode where you start with a great idea and doesn't seem like a good idea anymore, like within two weeks.

because we see a new development that happened. There are, we have numerous failures in engineering on that front. For example, some of our fine-tuning work building models for specific use case within our product

didn't really pan out for us. Ultimately, the choice was that we can go with already built models, whether they are small open-source models hosted on Databricks or one of the large foundation models. the but internally like you know from a corporate you know use cases perspective actually like you know we are also like in in many ways in this mode where a lot of our work actually like I would not say like fail but it actually takes much longer than you know to actually generate success you know there are you know we're actually trying to automate a lot of our business processes internally um and like for example like you know one thing that I want is uh in our company I want everybody to actually know exactly what their top priority for the week is, what they want to work on. And maybe we want an AI agent to actually first tell them what their priority should be. And we want it all to be documented. And we want a system which actually then rolls it all up. And I get a view every week where I can actually quickly see what are all the different people working on in the company and is that aligned with what I want them to work on.

And it's a simple thing. Companies have always tried to actually have this. As CEOs, you always want it. And it's always hard to make happen. And we thought that AI would simply just magically do all of this work. Because it has all the context. It has all the context inside the company to make it happen. But I still don't have it. So things do take time to actually dolly's point. AI is just one more tool that you have in the toolkit. Certainly make building complex enterprise systems, you know, you know, like it doesn't make it like that you can, you know, build it up like in one day. Yeah. You know, the last time enterprises got this excited about a tool was called RPA. And we know how that ended. It unfortunately fizzled out. And, you know, somebody in the audience yesterday is like, Hey, how is this time different from RPA? It seems like the same movie, bigger budgets, better actors.

What's different this time? How is the nature of the architecture of the technology different from the previous automation cycle? Either of you know, I mean I first of all RPA like it didn't take you know, it didn't capture my attention all so I know so I actually can't you know So so I think I I think like I I would not compare these two technologies at all like you know, you know what we thought we're seeing now with AI is so fundamental, you know, it's you know, it's the When we saw it first, it was

basically magic. And we couldn't believe that this is a machine that is doing this work. Machines are simply cannot do these kind of things that we saw them do, like writing on their own, having emotion, understanding emotion. So it's fundamental is different. And that's why I don't think this...

this technology is going to fizzle out and it's not like you don't have to be like a financial expert or you know like sort of a deep thinker on business this is obvious stuff like you know all of us know all of us feel it all of us all of us can see the capability of this technology and we know it's special and it's going to be it's going to be around yeah you want to hear my rpa please you know i mean it was rule-based and The problem with it, especially if you want something that automates what's going on on your desktop and automate the work that's happening, it's just that there's too much unexpected things that happen and it's just hard and brittle to set it up. It wasn't learning ever. So there was like zero learning. It was like, you tell it exactly here the rules and if you got something wrong, you need to go and go back and expand the rules. Here, you have something that's learning.

Right, so it can it can improve and it can generalize and it can understand the patterns and do pattern recognition So that's the fundamental difference between these two now There has been many startups that have failed in the generative AI We're gonna replace RPA with generative AI models There's many startups that failed actually that I know of like pretty some high-profile ones It's because the paradigm we live in today with AI is there's still problems. The biggest problem is that you bake a model and that's where it's learned everything it needs to learn, and then you freeze it, and then you launch it, and then maybe you give it some context, but that's it, it's frozen. So therein lies the problem that, you know, we need an AI that really can sort of continue learning while it's using the desktop and clicking around. So I do think this problem is hard to nail, but I think Arvind is right that it's like there's no comparison at all. It's like brittle rule-based stuff versus a learning agentic system.

I think it's going to nail it perfectly, but we haven't really nailed computer use yet. Yeah. Working on it. The number one shift is this move from if then else statements to a more generative solution that figures out the solution. And so you're trading breath for maybe determinism. That seems to be the

difference. And you know, there's a lot of CIOs in the room we've got here and they've got budgets coming up to plan. If you were giving advice to them off like, Hey, based on everything I know from my customer base, Here's one thing or two things that you've got to figure out and and align incentives on or it could be reliability problem or org design What advice would you have for CIOs who are thinking about their AI budgets right now? Well spend more on clean But the I think the One thing, you know, which which is important in AI market today is that it's very new and there are many players in fact every software company is also an AI company now. You can go and check their websites. So I think it's just hard to actually figure out where to allocate those budgets. And what we tell people is that I think the winners are yet to be identified. And so experiment with more vendors, do shorter term contracts. And while that's easy to say, it's hard to actually implement because every product that you try has, you know, it's a cost that you have to pay to make it, make it sort of even tested. So, so you have to also pick products that are, are easy to test. I mean, those are the ones that don't require you to, you know, spend the next six months trying to implement something and you know, idea what's going to come out after that. Like, you know, the products of today, the products that are built with the right AI, they should work, you know, very, very quickly for you.

We're going to take a peek into the future. Shifting gears, you know, one of the things that keeps investors like me up in the nights is a quarter trillion being spent on NVIDIA on the semi side of things. Assuming that is just 50% of the capex, you're spending about half a trillion on capex and then you've got to earn about a trillion dollars of AI revenue for all of this capex to be worth it. And just to put this in context, the entirety of the software industry earns about 400 billion of revenue. This seems like a physics problem at this point. How do you think this plays out? You've got to make about a trillion dollars of revenue to justify this present spend that's already happening. How do you think this shakes out? Maybe we start with you, Arvin. Wrong person to start with. But I'm an engineer and I actually don't really...

you know, think too much about who's spending what money, like, you know, we had to build our product and add value. So that's, so in some

sense, you know, I'm not really taught too much about this problem. But, but if you think about AI, the, you know, AI is not actually, you know, extending software in a marginal way. It's a, it's a, it's a different product. And in fact, you know, it's actually going to grab a lot of revenue that actually today is in services industry, which is 25 times larger than software industry. So there's a lot of spend. that is going to move. The spend that you see happen on AI is actually those service dollars that are converting into AI or software dollars. But with that said, maybe you have a more informed view on this. By the way, I do think that's just to build on. You said, I'm an engineer. I want to just build something that's cool. I do think it's not binary, right? It's not like, OK, so the physics doesn't work out, so the whole thing will collapse. No, there's going to be things that work.

And so it is a good idea to continue focusing on the stuff that is obviously already working, continue expanding on that. But I think if you zoom out, I think there's like three paradigms or three kind of camps. And I put Arvind in the third camp. I actually put myself also in the third camp. But let's start with the first camp. I think the first camp is this quest for super intelligence camp. And it's, you know, I think all the frontier lab. Labs are doing this like an all three four or five of them however you want to count them and I think it's really still being a lot of it comes from the scaling laws mentality Which is whoever has the most GPUs and the most data is gonna win the quest for super intelligence Which is kind of intelligence. That's like on almost like godlike It leads to recursive self-improvement of the AI which then once you have that It can cure cancer and solve all economical problems, and we can probably 10x GDP over a few years, period of time. So what the hell are you talking about? That there's a physics problem. Like, anything, any of your cost equations are going to pale in comparison to the economic value that this thing is going to provide. So that's like one camp. And the way they're developing it is bigger and bigger clusters, more and more energy. And that's how they're going about it. And that's where most of the capital is going, right?

That's not the kind of capital you're spending or I'm spending. But that's that camp. And then how do they know that they're succeeding? They're not just like, oh, just trust us. They're very smart people working on this. So the way they're approaching it, they're saying, we'll throw the hardest questions we

have at whatever AI we have now. And if it nails them, and we're making really rapid progress, so what's your problem? We're like, look at math Olympiad. We're like nailing these math Olympiad problems and physics Olympiad. And programming contests is better than any human being. That's what they're throwing all the most intellectually challenging. There's a second camp, which are the people that created the original technology, the scientists who created the technology, got the computer science Nobel Prize for it, it's called Touring Award. And that's Rich Sutton who created Reinforcement Learning, which a lot of this stuff is built on. You have Jan Lacoon, who is one of the three founding fathers and many others. They have for many years, actually, I've been, I've asked them for years.

they've been saying that that first camp is not gonna that's like not even the right approach is their view they're like no that's just like autoregressive next token prediction it's just probabilistically predicting the next token that's not how and usually they will say that's not how humans learn that's not how animals learn you know that we operate in a different way your brain is not that way and one example is that you know even a child learns very quickly to walk and talk and do things with very little data compared to you know like certainly no child is reading all of the internet's data four times over before they learn to speak. So that's like camp number two. Those guys, by the way, they say it's 20 years out. So they're saying, hey, it's a physics problem, and it's going to take 20 years to get there, which to me, it's like, I don't know, like, leave me alone. Let me do research. Third camp, which is, I think what we are in, is I don't think we need super intelligence. Like, you know, I don't think we need that super intelligence right now. Maybe they'll get there. That's awesome if they do. But I think we have a GI.

I think we have artificial general intelligence. We really have it. We absolutely have it. It's like, anyone who says we need to get to AGI, that's like, it's a false premise to start with. We already have AGI. I came to the United States in 2009 at UC Berkeley, not far away from here. And I was in an AI lab. It was called AMP Lab. The A was for algorithms and AI, machines and people. And these are all AI people. And back then, the definition of AGI we had, we already have satisfied that. Like, I know the discussions we had. and actually went back to some of those folks to see

like is it just me or what was the sentiment back in 2009 and everybody that I talked to said yeah that's by those standards we had AGI but we've changed the definition now we have those definitions you know ads so for 30 40 years we had a definition of AGI we've already hit that now we're changing it and moving the goalpost but very obviously we already have AGI just use any of these LLMs and have it do some reasoning and certainly it's smarter than many a lot of friends that you have that, right? Like, you know, let's not them or coworkers or whatever, right? Um, so you already have a GI now, now we're like haggling over exactly how smart is it? You know, do you have a friend that's smarter or not? Uh, so if we already have a GI, we just need to make it useful inside the enterprise. We need to just expand that 5% to be 10%, 20%, 30%. So that's why I think Arvin's answer is actually a good answer. Like we have the AGI we need. Let us just focus on solving the actual problems inside the organizations.

And I think we can already, that's enough to automate a lot of the tasks and get huge economic value out of it. We don't actually need super intelligence for that. That's a good idea. If the super intelligence guys nail it, amazing. Then with cured cancer. If they don't, hopefully the second camp comes up with a new thing in the next 20 years. That's also awesome. We already have whatever we need. So, yeah, let us just do our engineering. Right. Yeah. That's really good framing. The way this manifests in the world is there's a data layer. There's the intelligence layer, which is where Camp 1 is presumably producing a lot of great models. And then there's the software layer where the users engage with. Where do you think value will accrue? If you were to design 100 units of value across these three layers, the data layer, the intelligence layer, and the software or the application layer, where do you think value accrues in the next five years?

All right, this is a this is a tough question. I mean, I think the all all those three layers actually are very fundamental. Yeah, I thought you're gonna add a few more which are not Yeah, yeah, because I think I feel like the like as I was saying that the models are going to be available to all of us You know, they are going to be commodity and it's going to hard to sort of See that it the more spend goes to them versus these layers on top. But it's hard to sort of come up with where the most value will be. And I also don't know if it actually changes from today's technology architecture, where again,

anything about in a pre-AI world, any sort of enterprise application and data systems, you have data systems, you do have I guess you don't have enough of that intelligent layer today. And then you have the application layer. So I guess some dollars will shift into it. And we do think that the intelligence layer is actually going to be a pretty thick one. Maybe it'll capture half of the enterprise value. Anything to add, Ali? Yeah, no. I think that there are more layers in the stack, depending on how you want to do it. But I think, as I said, the LLMs is a commodity, as Arvind said. You can get them.

By the way, that doesn't mean those companies are not going to be valuable. I mean, TSMC is very valuable. And they're going to be these fab-like companies. But they're interchangeable. And we've never seen something like that ever. I have not, during all these, people just switch LLMs in one day. That's not the case with your iPhone versus Android, or your Windows versus your Mac, or anything versus anything. Google Sheets versus Excel is like, huge religious battle inside our company. But, but it's like, you know, because it's a commodity, as I said, it just speaks English or any language you like, and you can, and it gives you different answers every time. Might as well just try the cheaper one, the cheaper commodity or the slightly smarter commodity. You can't even really tell the difference, can you? So then what is special is the data that you have. Again, if your company has data that it has actually collected that your competitors do not have, like, Glean is amazing.

But if you remove all the data from Blean, there's no use to it, right? So it's all about the data that you have. And can you secure the data also? So if we're going to have agents running around accessing this data, like, oh, that's HR data. Oh, here's the poor of us, salary information. Oops, I blurted out to all of you. So how do you lock it down? How do you make sure that there's governance? There's also a lot of worry around. What if it's using a Chinese model? What if it's accessing this information? What if it's sharing this information with the competitor? What if it's interacting? So the governance security layer is going to be super, super important. But I do think most of the value will accrue to the apps. And I think that's common sense. I just don't know which apps. I do think Glean is amazing. Do you think of it as an app? I don't know. But now we see us as both app and a platform.

That's called an app platform. I do think it's amazing because it has the potential to automate so much of the overhead inside of an organization. If you think about why do organizations have hundreds of thousands of employees, some organizations, or 50,000, 20,000. A lot of it is the coordination overhead of so many people have to communicate with each other. Hey, what happened? What did you exactly mean by this? Let's do a meeting where you explain to me, I ask some questions. Or let's invite these other guys also and then write it down. And then just the coordination overhead of organizations is massive. It's like this N squared problem that everybody needs to communicate with everybody, and they're communicating inside their siloed org chart, but how do we get it across? So this through docs and Excel sheets and PowerPoints and meetings is how we move companies and organizations forward. So much of that can be augmented and be made more efficient with Lean. So that's why I think Lean is amazing. But this is kind of like 2000.

And you ask, what are the killer apps on the internet? By the way, back then we thought it's like Cisco, routers, you know, portals maybe with thousands of links on them. Actually, I was like in, I just started college and we knew that the future of internet would be portals, which are these web pages with a hundred links on it. And you just click on the right link. This was before Google search. But the future of internet actually didn't look that way. It ended up being, you know, things like Facebook for friends and things like Airbnb for rentals and Uber for your... cab industry and you know twitter and so on those became great companies so i don't know what those are for the future uh they will pop up yeah and they will be extremely valuable but okay so does that mean that data bricks and glean then basically will die and there'll be a new set of companies no back then there was actually an amazon.com already in 98 there was already a google actually existed already in 98 and so on uh cisco by the way is still around and it's you know Only a 300 billion dollar company or something like that, right? So, uh, so it's not binary. We'll see what happens But I do think there's going to be really a lot of value will go to the future Yeah, you know apps that will emerge speak it. Let's double click into that the 300 billion dollar companies of today at that layer software apps Salesforce service now a lot of talk about softwares being dead Um set their calls and the crud apps What is the future of this layer that today is called software that seems to be

heading towards becoming a database. And what do you see the value accrual to this part of the layer? Maybe start with you, Arvin. Yeah, I think that's an oversimplification. For example, I've been to say that Salesforce is just a database. It's a full ecosystem of workflows and other applications that are built on top of that infrastructure.

So I sort of like, you know, haven't really understood this concept of that, you know, you have this like a, you know, database, you know, where all your enterprise data is. And then, and then people can just go and create dynamic UI experiences on their own, on top of that data on it, like, you know, every business can, for example, just create all the UI by themselves on this. I don't think it's going to be happening like that because yes, you know, AI makes it easy. for you to build, you can have a database and you can just talk to AI and create a UI and experience that is exactly what you want it to be. But most times you actually won't know what you want. I think a lot of good thing about software companies is that they actually think about how to actually take that data but then present it in a way Let you know make people interact with it or modified in a way which sort of is natural and which you know drives you know like more productivity from a human so so I think ultimately like a software is an end-to-end stack in my opinion and All of these companies, you know, I don't think they're going away. I don't think you know They're gonna relegate it to becoming a database humans. You know over the last 20 years We got addicted to these screens. We scrunch over the screens and we would input this information with their keys With a drop down and hey, I met Irvin today and this is what I learned. It should really be hey chat met with Arvin. This is what I learned. Remind me two days to catch up with them. That will happen in the next couple of years. And even Glean, you won't be wanting to type, you want to talk to it. But I think the big thing is data entry. How does the data appear in that database? And that's today not completely automated. So, you know, just like, I think a company that would be well positioned to do that would actually kind of be Zoom. You know, and a lot of people don't think about it that way. But Zoom is really should be the the perfect data entry application, right? Because that's where we're having all the conversations. And that's all the information is coming out. And if it could work with we can extract the most important information, store it all, not in like a structured table, but like store that information in system of record. If

you had that, that would be the full disruption of the SAS stack. That's actually is one of the most common agents these days, you know, with clean, which is you take these meeting recordings.

you figure out like you know what you talk to the customer, what were the action items and then the agent goes updates the notes and says force with that like these these kind of things are happening already. Yeah, meeting meetings is yeah is you know like we in clean we have this policy where we record every single meeting internal meeting external meeting if our customers allow because there's so much so much information. I joined a meeting last week, it was four humans and six AI note takers. I had about, I think yesterday we were talking about 17 note takers in one of the discussions. It felt like the first scene of a movie where the AI takes over, clearly there's a lot of sprawl. There's almost too many tools and consolidation coming at some point. But maybe your guys' personal workflow, you guys are CEOs in the age of AI, a lot of CEOs in the room, they've got...

more jobs than time on their hands. How are you using AI for both your personal self? And how are you driving your organizations, or both large organizations to adopt AI and benefit from it? Maybe give us a glimpse of your leadership in the age of AI. Maybe Ali, we start with you this time. Yeah, I mean, we have agents for all kinds of stuff that we use, you know, everything from, you know, we have agents that are really good at understanding our customers. We have an agent, Rafi, that Rafi is the name, which Rafi? Yeah, if I want to understand anything about any like, you know, tell me best customer story on this. Like, you know, I told you about RBC, Royal Bank, Canada, but I can just ask it. I need the use case. I'm going to get on stage. I need to talk about finance sector. Give me a use case that has these, it'll like just find you all the information collected. So it's really, really helpful for me for these kind of things. Like when I get on stage like this, but also customer, if you go into a customer meeting, you know, I want to tell customer X.

About their biggest competitor why how they're using Databricks and maybe why is not a competitor is not using Databricks So then I shouldn't use I should use Z which actually is using Databricks. Maybe that's like the

number two competitor How do I get this information super quickly? All of those are paired at Databricks So on the go-to-market side a lot of this is being completely automated and we're using this the marketing stack I already mentioned is heavily automated already like the a lot of the tasks that's happening in marketing So we're seeing that stack that's happening Then there's engineering. That's like a whole big thing. Like, you know, that's how we sort of, um, um, and I think there's a whole change management and how to do it right, um, you know, initial attempts at automate a lot of the software engineering at Databricks kind of failed. Even there was nothing wrong with AI. The problem is the humans and how we were organized. Um, but that's, you know, so those are like the two big orgs. Databricks is a big, you know, 6,000 person go to market org and three, 4,000 person are in the org. And then there's some back office stuff.

Those two already we're seeing heavy automation using agents for all kinds of the tasks. Then there's back office so the finance and these functions. Finance is all on Databricks and it's all the forecasting, all the sort of, it's all moved to machine learning based. But it took them a long time because they had their Excel models and they're very proud of them and they didn't want to, you know, but again, there's a change management there. We actually had an external data science team build the AI models and then eventually they became good enough and now finance has taken those over and now finance have kind of moved from Excel to Python, largely at Databricks. But it was a journey because most of the speakers speak Excel. Similar thing is now happening to HR and other departments as well. But I think they're like, I think in general, HR departments are like, they're not the closest to doing this kind of analytical work with Excel and so on. So maybe that's not quite as far along, but yes, we're seeing it everywhere.

Yeah, I think too bad Arvin same for us and I think I can share some of my own personal use With it like so one of our agents is daily prep agent, which I really love because you know every morning It tells me like you know what my day is going to be what I need to read what I need to prepare like most of the meetings, you know I would not have context it actually Brings you know like the plan for those meetings for me. So that's that's one of my favorite agents, you know that helps me feel more confident about how I want to do my meetings in the day. The other one, which I shared

yesterday also, I've changed my instinct. And I think changing instincts take a long time. And when you're the CEO, you're the boss, and everybody listens to you.

you know, a small question curious. We just go and ask somebody and they're going to like, you know, put 30 people on the task to actually get that answer for me. And this is a prep meeting before the prep meeting. Yeah. So, so it's all of that. So, so that, so that's sort of like, you know, and, and so, but it's sort of like for me, it was easy. I just get to ask somebody and, and that, you know, I changed that because I knew I was actually causing like, you know, a lot of the, the, the expensive. So. So today, my instinct is to whenever I have curiosity, whenever I have questions, when I need to do data analysis, when I need to write something, my letter to the company every month, all of those things, fundamentally, I use AI, of course, clean in this case, but to actually help me do my tasks. I think you have to sort of have that belief. A lot of people won't do it.

You have to have that belief that AI is a good collaborator. It's not going to do the work for you. But if you use it, you're going to actually produce better output eventually, even if you don't save time for the first few months. But you're actually going to improve the quality of the output. Fascinating. Well, this brings me to my favorite part of this conversation, which is rapid fire. Short answers are fine. Long answers are welcome. Start with 12 months from now. are the big AI companies that we know of today, up or down. We'll start with OpenAI, 12 months from now, stocks up or down. Ali and then Arvin. And I'll say revenue will be up. I don't really understand how stocks work. Entropic. Ali, Arvin. Same. OK. Let me kind of get a little bit more. Of course, because chatGPT is going to continue growing, and it's on fire, and it's what everybody uses. So is Gemini, by the way.

And that entropic because more and more, you know, coding, we've only like eaten into a small portion of that market. It just started. So, yeah. Is AI in a bubble? Yes or no? There is an AI bubble. Uh, like saying, like, okay. So then Glyn is also in the bubble. Everybody's involved. No, I would say there is a bubble. I would say those three camps. Yeah. There is a super intelligence quest camp. I would be very worried there. There's a second,

the researchers doing the, you know, that's definitely not in a bubble. They're like the sober. Yeah, they're super sober. Nobody cares about them. And they're probably the ones that are right, unfortunately. And then there's the third camp, which is us trying to make this valuable. We're not in a bubble in a sense that we're not spending huge amounts of capital on what we are doing. We're just trying to get actual economic value inside of this organization. So I don't think it's binary, but there is a bubble. I mean, there are startups with zero revenue or, you know, 10, 20, 30 billion. That's all. Yeah. Same. I mean, I think the, uh, there are quite a few companies where there's all core optimism and valuations, which are well ahead of the business that those companies have in like, I guess you can say, like, you know, compared to non AI companies, like, of course, AI companies do have, um, higher, higher, higher multiples. And, um, but I think, you know, this sort of comes from that, you know, that, um, There's a good reason for it, because AI companies are going to grow more than non-AI companies, for sure. Yeah. My favorite game, and ultimately we ask our CEOs, is a long, short game, is if you were to pick a company, a product, an idea that you're long, that you think is going to be a bigger deal than it is today, what is that? And then short, which is there's more sizzle than their stake, more hype than reality. Pick a long, something that you're very optimistic on. Same order, Ali and the Nervant. I am very long on agents.

I think I'm very long on speech as an interaction. I think keyboards are basically going to disappear completely. We haven't actually nailed speech. I know it feels like we have, but we haven't, because you're still using your keyboard. So as long as you're using your keyboard, we haven't nailed speech. But I think we're this close to completely eliminating keyboards. So I think that's a big one. What would I say? I do think coding is a little bit overhyped. I don't know if I was short it. I mean, I think it's still the future. So I think that's one of them. I think automating customer service and support is a little bit overhyped. So basically, I think the things that the industry thinks are amazing and we've made great progress. We probably haven't done as much progress. And then a lot of the other things that are being ignored, we're going to have breakthroughs in those. Fascinating. Yeah. And for me, I think the products that are going to change the paradigm where instead of you building a product and expecting people to come to you, if you understand your user, your customer very deeply and

actually bring AI to them, that's the category that I'm excited about. I want to see more proactive AI products coming into the market next year. That is what is going to actually take it from a 5% of the users being power users, 200%. Your favorite AI tool that you use in your lives? I think clean is awesome. I mean, if that was not clear, let's go. So use it all the time. I actually, a lot of the questions I would ask from the team, the thing you said you changed, I first ask clean and then see, you know, if it nails it or not, then if it doesn't, then I'll spin up a 30% team to go spend a week and have three meetings and all that to get.

you know, the explanation of some simple concept for me, but usually Glee nails it. Yeah. For me, I'm excited about note takers. I've used granola myself and fathom and a few others. But note taking is actually fascinating. I mean, I think the, I feel like, you know, if you, if you take those notes and then if you utilize it the right way, like for example, what Ali was saying, like, you know, that becomes a source of what then actually creates knowledge. uh, safe data in your systems that's going to change, you know, how companies work. Yeah. You know, in closing, I'd love to, uh, get your vision for your companies. We'll start with Ali's favorite tool, Glean. Congrats. You just announced crossing a big milestone, 200 million in revenue run rate. You've, you're signing big deals, 10 million deals. You've got super users. I'm seeing you're seeing casual users. Paint us the vision for, for Glean from here to a billion in revenue. I think we're still doing animal planning, which also some.

you know, AI companies are telling me that's that's so old school, but but but we're doing it regardless because there's early startups like did you do annual planning when you started clean? No, no. So the but but I think for us, the the thing that I'm most excited about again is so we think a lot about AI literacy and how do you get everybody along on this journey? And we're not seeing it right now like cleans heavily used product. But but still. There's a big variance between the top users and the ones at the bottom. And that's what we want to change. So the future for us is we want to be, we want Glean to be this very personal companion for every person in every company in the world. This companion with which you have a very confidential relationship with this companion.

in the sense that whatever you ask this companion, whatever communication you have with them, it's fully privileged. Nobody else has to see it. But this companion knows everything about you and your work life. It knows your day. It knows your week. It knows what you're going to meet in the day-to-day. It knows your weekly goals. It knows what things you're not good at or what your career ambitions are. And with all of that, this personal companion is... is sort of helping you now with your work. It hopefully takes majority of your tasks automatically, works on them before you ask it to work on them. And that's sort of the vision that we are taking our product to. We have most of the foundation for this in place already. Today you have to come to Glean to get most of that work done. In the future we want Glean to actually come to you and do that work.

Well, we can keep going for a bit, but I'm being called on time. Thank you so much for chopping it up with us. You got a lot of help, a lot of insights here. Really appreciate it. Thank you. Thank you. Thank you. Thank you. Thank you. All right, Janne, thank you so much.